Amendment of section 144B.

42. In section 144B of the Income-tax Act,—

(*a*) for sub-sections (1) to (8), the following sub-sections shall be substituted, namely:—

"(1) Notwithstanding anything to the contrary contained in any other provision of this Act, the assessment, reassessment or recomputation under sub-section (3) of section 143 or under section 144 or under section 147, as the case may be, with respect to the cases referred to in sub-section (2), shall be made in a faceless manner as per the following procedure, namely:—

(*i*) the National Faceless Assessment Centre shall assign the case selected for the purposes of faceless assessment under this section to a specific assessment unit through an automated allocation system;

(*ii*) the National Faceless Assessment Centre shall intimate the assessee that assessment in his case shall be completed in accordance with the procedure laid down under this section;

(*iii*) a notice shall be served on the assessee, through the National Faceless Assessment Centre, under sub-section (2) of section 143 or under sub-section (1) of section 142 and the assessee may file his response to such notice within the date specified therein, to the National Faceless Assessment Centre which shall forward the same to the assessment unit;

(*iv*) where a case is assigned to the assessment unit, under clause (*i*), it may make a request through the National Faceless Assessment Centre for —

(*a*) obtaining such further information, documents or evidence from the assessee or any other person, as it may specify;

(*b*) conducting of enquiry or verification by verification unit;

(*c*) seeking technical assistance in respect of determination of arm's length price, valuation of property, withdrawal of registration, approval, exemption or any other technical matter by referring to the technical unit;

(*v*) where a request under sub-clause (*a*) of clause (*iv*) has been initiated by the assessment unit, the National Faceless Assessment Centre shall serve appropriate notice or requisition on the assessee or any other person for obtaining the information, documents or evidence requisitioned by the assessment unit and the assessee or any other person, as the case may be, shall file his response to such notice within the time specified therein or such time as may be extended on the basis of an application in this regard, to the National Faceless Assessment Centre which shall forward the reply to the assessment unit;

(*vi*) where a request,—

(*a*) for conducting of enquiry or verification by the verification unit has been made by the assessment unit under sub-clause (*b*) of clause (*iv*), the request shall be assigned by the National Faceless Assessment Centre to a verification unit through an automated allocation system; or

(*b*) for reference to the technical unit has been made by the assessment unit under sub-clause (*c*) of clause (*iv*), the request shall be assigned by the National Faceless Assessment Centre to a technical unit through an automated allocation system;

(*vii*) the National Faceless Assessment Centre shall send the report received from the verification unit or the technical unit, as the case may be, based on the request referred to in clause (*vi*) to the concerned assessment unit;

(*viii*) where the assessee fails to comply with the notice served under clause (*v*) or notice issued under sub-section (1) of section 142 or the terms of notice issued under sub-section (2) of section 143, the National Faceless Assessment Centre shall intimate such failure to the assessment unit;

(*ix*) the assessment unit shall serve upon such assessee, as referred to in clause (*viii*), a notice, through the National Faceless Assessment Centre, under section 144, giving him an opportunity to show-cause on a date and time as specified in such notice as to why the assessment in his case should not be completed to the best of its judgment;

(*x*) the assessee shall, within the time specified in the notice referred to in clause (*ix*) or such time as may be extended on the basis of an application in this regard, file his response to the National Faceless Assessment Centre which shall forward the same to the assessment unit;

(*xi*) where the assessee fails to file response to the notice served under clause (*ix*) within the time specified therein or within the extended time, if any, the National Faceless Assessment Centre shall intimate such failure to the assessment unit;

(*xii*) the assessment unit shall, after taking into account all the relevant material available on the record, prepare, in writing,—

(*a*) an income or loss determination proposal, where no variation prejudicial to assessee is proposed and send a copy of such income or loss determination proposal to the National Faceless Assessment Centre; or

(*b*) in any other case, a show-cause notice stating the variations prejudicial to the interest of assessee proposed to be made to the income of the assessee and calling upon him to submit as to why the proposed variation should not be made and serve such show-cause notice, on the assessee, through the National Faceless Assessment Centre;

(*xiii*) the assessee shall file his reply to the show-cause notice served under sub-clause (*b*) of clause (*xii*) on a date and time as specified therein or such time as may be extended on the basis of an application made in this regard, to the National Faceless Assessment Centre, which shall forward the reply to the assessment unit;

(*xiv*) where the assessee fails to file response to the notice served under sub-clause (*b*) of clause (*xii*) within the time specified therein or within the extended time, if any, the National Faceless Assessment Centre shall intimate such failure to the assessment unit;

(*xv*) the assessment unit shall, after considering the response received under clause (*xiii*) or after receipt of intimation under clause (*xiv*), as the case may be, and taking into account all relevant material available on record, prepare an income or loss determination proposal and send the same to the National Faceless Assessment Centre;

(*xvi*) upon receipt of the income or loss determination proposal, as referred to in sub-clause (*a*) of clause (*xii*) or clause (*xv*), as the case may be, the National Faceless Assessment Centre may, on the basis of guidelines issued by the Board,—

(*a*) convey to the assessment unit to prepare draft order in accordance with the income or loss determination proposal, which shall thereafter prepare a draft order; or

(*b*) assign the income or loss determination proposal to a review unit through an automated allocation system, for conducting review of such proposal;

(*xvii*) the review unit shall conduct review of the income or loss determination proposal assigned to it by the National Faceless Assessment Centre, under sub-clause (*b*) of clause (*xvi*), whereupon it shall prepare a review report and send the same to the National Faceless Assessment Centre;

(*xviii*) the National Faceless Assessment Centre shall, upon receiving the review report under clause (*xvii*), forward the same to the assessment unit which had proposed the income or loss determination proposal;

(*xix*) the assessment unit shall, after considering such review report, accept or reject some or all of the modifications proposed therein and after recording reasons in case of rejection of such modifications, prepare a draft order;

(*xx*) the assessment unit shall send such draft order prepared under sub-clause (*a*) of clause (*xvi*) or under clause (*xix*) to the National Faceless Assessment Centre;

(*xxi*) in case of an eligible assessee, where there is a proposal to make any variation which is prejudicial to the interest of such assessee, as mentioned in sub-section (1) under section 144C, the National Faceless Assessment Centre shall serve the draft order referred to in clause (*xx*) on the assessee;

(*xxii*) in any case other than that referred to in clause (*xxi*), the National Faceless Assessment Centre shall convey to the assessment unit to pass the final assessment order in accordance with such draft order, which shall thereafter pass the final assessment order and initiate penalty proceedings, if any, and send it to the National Faceless Assessment Centre;

(*xxiii*) upon receiving the final assessment order as per clause (*xxii*), the National Faceless Assessment Centre shall serve a copy of such order and notice for initiating penalty proceedings, if any, on the assessee, along with the demand notice, specifying the sum payable by, or refund of any amount due to, the assessee on the basis of such assessment;

(*xxiv*) where a draft order is served on the assessee as referred to in clause (*xxi*), such assessee shall,—

(*a*) file his acceptance of the variations proposed in such draft order to the National Faceless Assessment Centre; or

(*b*) file his objections, if any, to such variations, with—

(I) the Dispute Resolution Panel, and

(II) the National Faceless Assessment Centre,

within the period specified in sub-section (2) of section 144C;

(*xxv*) the National Faceless Assessment Centre shall,—

(*a*) upon receipt of acceptance from the eligible assessee; or

(*b*) if no objections are received from the eligible assessee, within the period specified in sub-section (2) of section 144C,

intimate the assessment unit to complete the assessment on the basis of the draft order;

(*xxvi*) the assessment unit shall, upon receipt of intimation under clause (*xxv*), pass the assessment order, in accordance with the relevant draft order, within the time allowed under sub-section (4) of section 144C and initiate penalty proceedings, if any, and send the order to the National Faceless Assessment Centre;

(*xxvii*) where the eligible assessee files objections with the Dispute Resolution Panel, under sub-clause (*b*) of clause (*xxiv*), the National Faceless Assessment Centre shall send such intimation along with a copy of objections filed to the assessment unit;

(*xxviii*) the National Faceless Assessment Centre shall, in a case referred to in clause (*xxvii*), upon receipt of the directions issued by the Dispute Resolution Panel under sub-section (5) of section 144C, forward such directions to the assessment unit;

(*xxix*) the assessment unit shall, in conformity with the directions issued by the Dispute Resolution Panel under sub-section (5) of section 144C, complete the assessment within the time allowed in sub-section (13) of section 144C and initiate penalty proceedings, if any, and send a copy of the assessment order to the National Faceless Assessment Centre;

(*xxx*) the National Faceless Assessment Centre shall, upon receipt of the assessment order referred to in clause (*xxvi*) or clause (*xxix*), as the case may be, serve a copy of such order and notice for initiating penalty proceedings, if any, on the assessee, along with the demand notice, specifying the sum payable by, or the amount of refund due to, the assessee on the basis of such assessment;

(*xxxi*) the National Faceless Assessment Centre shall, after completion of assessment, transfer all the electronic records of the case to the Assessing Officer having jurisdiction over the said case for such action as may be required under the provisions of this Act;

(*xxxii*) if at any stage of the proceedings before it, the assessment unit having regard to the nature and complexity of the accounts, volume of the accounts, doubts about the correctness of accounts, multiplicity of transactions in the accounts or specialised nature of business activity of the assessee, and the interests of the revenue, is of the opinion that it is necessary to do so, it may, upon recording its reasons in writing, refer the case to the National Faceless Assessment Centre stating that the provisions of sub-section (2A) of section 142 may be invoked and such case shall be dealt with in accordance with the provisions of sub-section (7).

(2) The faceless assessment under sub-section (1) shall be made in respect of such territorial area, or persons or class of persons, or incomes or class of incomes, or cases or class of cases, as may be specified by the Board.

(3) The Board may, for the purposes of faceless assessment, set up the following Centre and units and specify their functions and jurisdiction, namely:—

(*i*) a National Faceless Assessment Centre to facilitate the conduct of faceless assessment proceedings in a centralised manner;

(*ii*) such assessment units, as it may deem necessary to conduct the faceless assessment, to perform the function of making assessment, which includes identification of points or issues material for the determination of any liability (including refund) under this Act, seeking information or clarification on points or issues so identified, analysis of the material furnished by the assessee or any other person, and such other functions as may be required for the purposes of making faceless assessment, and the term "assessment unit", wherever used in this section, shall refer to an Assessing Officer having powers so assigned by the Board;

(*iii*) such verification units, as it may deem necessary to facilitate the conduct of faceless assessment, to perform the function of verification, which includes enquiry, cross verification, examination of books of account, examination of witnesses and recording of statements, and such other functions as may be required for the purposes of verification and the term "verification unit", wherever used in this section, shall refer to an Assessing Officer having powers so assigned by the Board:

Provided that the function of verification unit under this section may also be performed by a verification unit located in any other faceless centre set up under the provisions of this Act or under any scheme notified under the provisions of this Act; and the request for verification may also be assigned through the National Faceless Assessment Centre to such verification unit;

(*iv*) such technical units, as it may deem necessary to facilitate the conduct of faceless assessment, to perform the function of providing technical assistance which includes any assistance or advice on legal, accounting, forensic, information technology, valuation, transfer pricing, data analytics, management or any other technical matter under this Act or an agreement entered into under section 90 or 90A, which may be required in a particular case or a class of cases, under this section and the term "technical unit", wherever used in this section, shall refer to an Assessing Officer having powers so assigned by the Board;

(*v*) such review units, as it may deem necessary to facilitate the conduct of faceless assessment, to perform the function of review of the income determination proposal assigned under sub-clause (*b*) of clause (*xvi*) of sub-section (1), which includes checking whether the relevant and material evidence has been brought on record, relevant points of fact and law have been duly incorporated, the issues requiring addition or disallowance have been incorporated and such other functions as may be required for the purposes of review and the term "review unit", wherever used in this section, shall refer to an Assessing Officer having powers so assigned by the Board;

(4) The assessment unit, verification unit, technical unit and the review unit shall have the following authorities, namely:—

(*i*) Additional Commissioner or Additional Director or Joint Commissioner or Joint Director, as the case may be;

(*ii*) Deputy Commissioner or Deputy Director or Assistant Commissioner or Assistant Director, or Income-tax Officer, as the case may be;

(*iii*) such other income-tax authority, ministerial staff, executive or consultant, as may be considered necessary by the Board.

(5) All communications,—

(*i*) among the assessment unit, review unit, verification unit or technical unit or with the assessee or any other person with respect to the information or documents or evidence or any other details, as may be necessary for the purposes of making a faceless assessment shall be through the National Faceless Assessment Centre;

(*ii*) between the National Faceless Assessment Centre and the assessee, or his authorised representative, or any other person shall be exchanged exclusively by electronic mode; and

(*iii*) between the National Faceless Assessment Centre and various units shall be exchanged exclusively by electronic mode:

Provided that the provisions of this sub-section shall not apply to the enquiry or verification conducted by the verification unit in the circumstances as may be specified by the Board in this behalf.

(6) For the purposes of faceless assessment—

(*i*) an electronic record shall be authenticated by—

(*a*) the National Faceless Assessment Centre by way of an electronic communication;

(*b*) the assessment unit or verification unit or technical unit or review unit, as the case may be, by affixing digital signature;

(*c*) assessee or any other person, by affixing his digital signature or under electronic verification code, or by logging into his registered account in the designated portal;

(*ii*) every notice or order or any other electronic communication shall be delivered to the addressee, being the assessee, by way of—

(*a*) placing an authenticated copy thereof in the registered account of the assessee; or

(*b*) sending an authenticated copy thereof to the registered email address of the assessee or his authorised representative; or

(*c*) uploading an authenticated copy on the Mobile App of the assessee,

and followed by a real time alert;

(*iii*) every notice or order or any other electronic communication shall be delivered to the addressee, being any other person, by sending an authenticated copy thereof to the registered email address of such person, followed by a real time alert;

(*iv*) the assessee shall file his response to any notice or order or any other electronic communication, through his registered account, and once an acknowledgement is sent by the National Faceless Assessment Centre containing the hash result generated upon successful submission of response, the response shall be deemed to be authenticated;

(*v*) the time and place of dispatch and receipt of electronic record shall be determined in accordance with the provisions of section 13 of the Information Technology Act, 2000 (21 of 2000);

(*vi*) a person shall not be required to appear either personally or through authorised representative in connection with any proceedings before any unit set up under this section;

(*vii*) in a case where a variation is proposed in the income or loss determination proposal or the draft order, and an opportunity is provided to the assessee by serving a notice calling upon him to show cause as to why the assessment should not be completed as per such income or loss determination proposal, the assessee or his authorised representative, as the case may be, may request for personal hearing so as to make his oral submissions or present his case before the income-tax authority of the relevant unit;

(*viii*) where the request for personal hearing has been received, the income-tax authority of relevant unit shall allow such hearing, through National Faceless Assessment Centre, which shall be conducted exclusively through video conferencing or video telephony, including use of any telecommunication application software which supports video conferencing or video telephony, to the extent technologically feasible, in accordance with the procedure laid down by the Board;

(*ix*) subject to the proviso to sub-section (5), any examination or recording of the statement of the assessee or any other person (other than the statement recorded in the course of survey under section 133A) shall be conducted by an income-tax authority in the relevant unit, exclusively through video conferencing or video telephony, including use of any telecommunication application software which supports video conferencing or video telephony, to the extent technologically feasible, in accordance with the procedure laid down by the Board;

(*x*) the Board shall establish suitable facilities for video conferencing or video telephony including telecommunication application software which supports video conferencing or video telephony at such locations as may be necessary, so as to ensure that the assessee, or his authorised representative, or any other person is not denied the benefit of faceless assessment merely on the consideration that such assessee or his authorised representative, or any other person does not have access to video conferencing or video telephony at his end;

(*xi*) the Principal Chief Commissioner or the Principal Director General, as the case may be, in charge of the National Faceless Assessment Centre shall, with the prior approval of the Board, lay down the standards, procedures and processes for effective functioning of the National Faceless Assessment Centre and the units set up, in an automated and mechanised environment.

(7) (*a*) The Principal Chief Commissioner or the Principal Director General, as the case may be, in charge of the National Faceless Assessment Centre shall, in accordance with the procedure laid down by the Board in this regard, if he considers appropriate that the provisions of sub-section (2A) of section 142 may be invoked in the case,—

(*i*) forward the reference received from an assessment unit under clause (*xxxii*) of sub-section (1) to the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner having jurisdiction over such case, and inform the assessment unit accordingly;

(*ii*) transfer the case to the Assessing Officer having jurisdiction over such case in accordance sub-section (8);

(*b*) where a reference has been received by the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner under sub-clause (*i*) of clause (*a*), he shall direct the Assessing Officer, having jurisdiction over the case, to invoke the provisions of sub-section (2A) of section 142;

(*c*) where a reference has not been forwarded to the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner, having jurisdiction over the case, in a case referred to in sub-clause (*i*) of clause (*a*), the assessment unit shall proceed to complete the assessment in accordance with the procedure laid down in this section.

(8) Notwithstanding anything contained in sub-section (1) or sub-section (2), the Principal Chief Commissioner or the Principal Director General, as the case may be, in charge of National Faceless Assessment Centre may, at any stage of the assessment, if considered necessary, transfer the case to the Assessing Officer having jurisdiction over such case, with the prior approval of the Board.";

(*b*) sub-section (9) shall be omitted and shall be deemed to have been omitted with effect from the 1st day of April, 2021;

(*c*) sub-section (10) shall be omitted;

(*d*) in the *Explanation*,—

(*i*) after clause (*l*), the following clause shall be inserted, namely:—

'(*la*) "electronic verification code" means a code generated for the purpose of electronic verification as per the data structure and standards specified by the Principal Director General or Director General, as the case may be, in charge of information technology;';

(*ii*) clause (*q*) shall be omitted.